

THE GIANT SLIPS

- NBP dipped because of a 25.80 per cent fall in LIC's collections
- However, private insurers have seen higher collections

NBP in ₹ crore	2022			2023			Growth YoY (%)
	Private players	LIC	Total	Private players	LIC	Total	
Apr	6,223	11,717	17,940	6,755	5,810	12,565	-29.96
May	8,640	15,841	24,480	9,422	14,056	23,478	-4.10
Jun	10,611	20,644	31,255	11,991	24,971	36,962	18.26
Jul	9,962	29,117	39,079	12,481	15,387	27,867	-28.69
Aug	10,975	21,882	32,857	12,496	14,293	26,789	-18.47
Sep	11,375	24,991	36,367	12,590	18,126	30,716	-15.54
Total	57,786	1,24,191	1,81,977	65,734	92,643	1,58,377	-12.97

NBP NEW BUSINESS PREMIUM SOURCE IRDAI

96 |

solely down to the sharp 25.80 per cent decline in LIC's NBP collection, which stood at ₹92,643 crore.

On the financial front, too, SBI Life has outperformed its peers, delivering 15.8 per cent YoY growth in individual annual premium equivalent (APE).

In Q2FY24, the company reported a 28.6 per cent YoY growth in individual APE, per a report by capital market research firm Nuvama Research. APE is the sum of the initial premium on new annual-premium policies, plus one-tenth of the premiums on new single-premium policies.

In the case of ICICI Pru Life, its total APE decreased 1.7 per cent YoY. HDFC Life's individual APE growth moderated to 13.3 per cent YoY. Nuvama said it expects a renewed focus on sales from parent HDFC Bank to propel insurance sales, but this may take some time to show up in the numbers.

"Based on the data for policy sales during H1FY24, it has been observed that the overall number of policies sold has remained static. However, a closer analysis of the data reveals that private insurers have gained a 2.5 per cent market share from LIC," says Kamtekar. This shift in market share can be attributed to the fact that private insurers were able to sell 8.73 per cent more policies during first half of FY24 than in the corresponding period in H1FY23. Therefore, private insurance players effectively forego margin growth to accelerate volume growth, he adds.

NOT DONE YET

And yet, despite these considerable challenges, LIC continues to stand out in the insurance sector. It retains considerable heft in the segment, with a still massive market share of over 58 per cent.

Surprisingly, its profitability was not affected last year despite the downturn. The detrimental impact of receding business was buffered by the wider expansion of LIC's overall business. In FY23, LIC reported a 16.67 per cent surge in life insurance NBP collection, fortifying its economic standing. In FY23, LIC collected premiums worth ₹2.31 lakh crore, compared with FY22, when it collected premiums of ₹1.98 lakh crore.

In the first half of FY24, LIC reported a 5 per cent year-on-year (YoY) growth in standalone net profit at ₹17,468.73 crore, against ₹16,635.38 crore a year ago.

Notably, its stock has been under pressure for other reasons. For instance, it was affected by the controversy that surrounded the Adani Group after short-seller Hindenburg Research released a report in January accusing the group of market manipulation and accounting fraud. The group refuted these allegations, but following the report's release, the Adani Group lost over half of its total market value, or roughly over \$100 billion.

This affected LIC because it holds shares of some Adani Group companies, and had a total exposure of around 4 per cent of its assets under management as of September 30. It holds stakes in ACC Ltd, Adani Energy Solutions, Adani Green Energy Ltd., Adani Total Gas, Adani Enterprises, Adani Ports and Special Economic Zone, and Ambuja Cement.

However, these are but a fraction of LIC's portfolio. The insurance behemoth has stakes in over 300 listed firms, spread across diverse sectors like pharmaceuticals and banking, among others.

With the market leader facing headwinds, investors may need to be more patient on these stocks. **BT**

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